MINISTRY OF EDUCATION, SINGAPORE
in collaboration with
UNIVERSITY OF CAMBRIDGE LOCAL EXAMINATIONS SYNDICATE
General Certificate of Education Advanced Level
Higher 2

ECONOMICS

9757/01

Paper 1

October/November 2017

2 hours 15 minutes

Additional Materials: Answer Paper

READ THESE INSTRUCTIONS FIRST

Write your Centre number, index number and name on all the work you hand in.
Write in dark blue or black pen.
You may use an HB pencil for any diagrams, graphs or rough working.
Do not use staples, paper clips, glue or correction fluid.
DO **NOT** WRITE IN ANY BARCODES.

Answer **all** questions.

At the end of the examination, fasten all your work securely together.
The number of marks is given in brackets [ ] at the end of each question or part question.

was in this cohort. Recent research suggests that demand for meat per person may increase in future counteracting the impact of population decline in Japan.

There is a tendency for Japanese consumers to import more Australian beef products when US beef prices rise and vice versa. The results show a particularly strong competitive relationship for chilled beef across all sources, where a price increase in beef from one source leads to increased imports from the other two sources, ceteris paribus. A 1% increase in the price of Australian chilled beef for example, would cause imports of US chilled beef to increase by 0.74% and chilled beef from the rest of the world to increase by 1.34%.

In 2014, the Australian and Japanese governments signed the Japan-Australia Economic Partnership Agreement (JAEPA), which includes significant and immediate tariff reductions for imports of Australian beef into Japan. The US and Australia are competitors in the Japanese beef market, and the implementation of JAEPA gives Australia a significant competitive advantage.

Both the US and Japan are part of the Trans-Pacific Partnership (TPP). The talks on TPP have been concluded, but the agreement has yet to be signed.

Source: *USDA*, January 2016

Table 1: Income elasticity of demand of Japanese consumers for meat products in Japan

Beef	0.76
Poultry	0.02
Pork	0.38

Source: *Economic Research Service/USDA*

Table 2: Price elasticity of demand of Japanese consumers for chilled beef imported from different countries

Australia	(-) 0.92
United States	(-) 1.13
Rest of World	(-) 1.18

Source: *Economic Research Service/USDA*

Extract 3: The US and the Trans-Pacific Partnership (TPP)

The TPP is one of the most ambitious free trade agreements ever signed. Those in favour say this trade deal will create new economic growth among countries involved. Those against – particularly some Americans – fear it could mean jobs will move from the US to developing countries.

It involves 12 countries: the US, Japan, Malaysia, Vietnam, Singapore, Brunei, Australia, New Zealand, Canada, Mexico, Chile and Peru. It aims to strengthen economic ties between these nations, slashing tariffs and fostering trade to boost growth. The agreement could create a new single market something like that of the European Union (EU).

Most goods and services are involved, but not all tariffs are going to be removed and some will take longer to remove than others. In all, some 18000 tariffs are affected. For example, the signatories have said they will either eliminate or reduce tariffs and other restrictive policies from agricultural products and industrial goods. Tariffs on US manufactured goods and almost all US farm products will

Question 2: China's Economy Faces Problems

Extract 4: China's economic weakness continues as both imports and exports fall

Chinese imports fell for a seventh consecutive month in May 2015 and were down by 17% compared to May 2014. Exports also decreased, according to official data, as the world's second-biggest economy shows weakness even in the face of government measures to stimulate growth such as interest rate cuts. The disappointing figures come as leaders try to transform the economy to one where growth is driven by consumer spending rather than government expenditure, investment and exports.

Exports dropped for the third consecutive month, falling 2.5% to US$191 billion, but the sharp decrease in imports meant the trade surplus expanded 65.6% year-on-year to US$59 billion, according to the data.

The figures provided further evidence that weakness in the Chinese economy, a key driver of world growth, has extended into the current quarter despite intensified government stimulus measures. Gross Domestic Product (GDP) grew 7.4% in 2014, the lowest rate in nearly a quarter of a century, while 2015 has shown few signs of a reversal in the slowing trend. Beijing has set the target for the economy to grow by "around 7%" in 2015, lower than its target for 2014, which was about 7.5%.

Chinese leaders have said they are ready to accept slower but more sustained economic growth, as they try to transform an investment-driven growth model to one in which consumption expenditure is the most important driver.

Still, the authorities have stepped up stimulus efforts since late last year in an attempt to ensure the slowdown does not get out of hand. The Central Bank of China has cut interest rates three times since November and twice reduced the amount of cash banks must keep in reserve so that more loans could be given out, along with other measures to inject liquidity into the market to stimulate growth.

Consumption and investment are expected to pick up during 2015 as a result of the implementation of expansionary fiscal and monetary policies. As a result, a modest recovery in Chinese imports is expected. The Chinese government's recent cut in tariffs on various consumer products will also contribute to the recovery. In addition it is expected that growth will gradually recover as the United States economy strengthens.

Source: *Agence France-Presse in Beijing*, 8 June 2015

Table 3: China's composition of aggregate demand

	Components of Aggregate Demand (as % of GDP)				
	Household Consumption Expenditure (C)	**Investment Expenditure (I)**	**Government Current Expenditure (G)**	**Exports (X)**	**Imports (M)**
2000	47	35	16	21	19
2014	35	47	14	23	19

Source: *National Bureau of Statistics of China*

Extract 6: The impact of China's weakness on the world economy

China's imports fell by 14.6% over the first seven months of 2015 compared to the same period in 2014. The following table shows the impact of a 14.6% fall in China's imports on the value of the export sales lost of selected economies.

Table 5: Estimated impact on selected economies of a fall of 14.6% in China's imports

Country	Estimated Export Sales Lost (US$ billion)
Australia	25.20
Japan	18.08
New Zealand	3.54
Singapore	2.16

The effects of a slowdown in China are felt all over the world; China's near neighbours are connected with its manufacturing processes. Other countries supply it with oil and gas, while some far-away places in Africa and South America provide it with metals and other primary materials. Exports of agricultural produce are important to Brazil and New Zealand. Lastly, several European countries are surprisingly dependent on China's demand for their luxury goods.

Source: *The Guardian*, 26 August 2015

Questions

(a) Explain briefly how any **one** component of aggregate demand would be expected to change as interest rates are cut in China. [2]

(b) With reference to Table 4, describe what has happened to the rate of inflation **and** the price level in China between 2011 and 2015. [2]

(c) Using an aggregate demand and aggregate supply diagram, explain how the strengthening of the US economy might stimulate growth in China. [4]

(d) Explain **two** factors that would likely determine the impact of the fall in export sales to China on any **one** economy shown in Table 5. [4]

(e) Analyse how China's policymakers might attempt to transform the economy to one that is driven by consumer spending. Assess whether they are likely to be successful. [8]

(f) Discuss whether an expansionary monetary policy adopted by China is likely, on balance, to have a beneficial effect upon China's trading partners. [10]

[Total: 30]

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ECONOMICS

9757/02

Paper 2 Essays

October/November 2017

2 hours 15 minutes

Additional Materials: Answer Paper

READ THESE INSTRUCTIONS FIRST

Write your Centre number, index number and name on all the work you hand in.
Write in dark blue or black pen.
You may use an HB pencil for any diagrams, graphs or rough working.
Do not use staples, paper clips, glue or correction fluid.
DO **NOT** WRITE IN ANY BARCODES.

Answer **three** questions in total, of which **one** must be from Section A, **one** from Section B and **one** from **either** Section A or Section B.

At the end of the examination, fasten all your work securely together.
The number of marks is given in brackets [ ] at the end of each question or part question.

Section B

One or two of your three chosen questions must be from this section.

4 High rates of unemployment remain a major issue in many economies of the world. An understanding of various causes of unemployment is needed in order for a government to decide on the economic policies that would help its economy achieve full employment.

Discuss the various causes of unemployment and the economic policies that would help to achieve full employment in today's globalised world. [25]

5 Singapore is considered to have a high standard of living, a high cost of living and a strong overall macroeconomic performance.

(a) Explain the link between the standard of living, the cost of living and the macroeconomic performance of a country. [10]

(b) Discuss the economic policies which might have resulted in Singapore arriving at this position. [15]

6 The Singapore economy grew by 1.8% on a year-on-year basis in the second quarter of 2015, sharply lower than the 2.8% growth in the preceding quarter, the Ministry of Trade and Industry (MTI) announced on Tuesday 11 August 2015.

(a) Explain the internal and external factors that are likely to have contributed to this slowdown in the economic growth rate. [10]

(b) Discuss whether the policies aimed to increase the economic growth rate might cause difficulties for Singapore's economy. [15]

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Answer **three** questions in total.

Section A

One or two of your three chosen questions must be from this section.

1 In the small island economy of Singapore, producers face different constraints from those in larger economies.

(a) Explain how firms in Singapore will be affected by constraints, such as having a small domestic market and a lack of resources. [10]

(b) Assess which are the appropriate policies that firms and governments could adopt to overcome such constraints. [15]

2 Falling interest rates, continued income growth and other factors contributed to a period of rapid residential property price inflation in Singapore from the middle of 2009. However, the government has successfully pursued policies to restrict this rise to the extent that residential property prices actually fell in 2014 and 2015.

(a) Use supply and demand analysis to explain why falling interest rates and continued income growth may have led to a rapid rise in residential property prices. [10]

(b) Discuss the policies that might be used by the Singapore government to reduce residential property price inflation. [15]

3 Government policies to restrict the use of cars and encourage the public to use the Mass Rapid Transit (MRT) system continue to be a source of heated debate in Singapore.

Assess the effectiveness of the policies available to the Singapore government in overcoming market failure in Singapore's land transport market. [25]

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Copyright Acknowledgements:

Question 1 Extract 1	© Tatiana Gadda and Alexandros Gasparatos; Tokyo drifts from seafood to meat eating; Our World: United Nations University; 10th September 2010 (adapted)
Question 1 Extract 2, Table 1 and Table 2	© USDA; 2016 (adapted)
Question 1 Extract 3	© BBC News; 2016 (adapted)
Question 2 Extract 4	© Agence France-Presse; www.afp.com; 2015 (adapted)
Question 2 Table 3 and Table 4	© Data Source: National Bureau of Statistics of China; 2014
Question 2 Extract 5	© Associated Press; 2016 (adapted)
Question 2 Extract 6 and Table 6	© The Guardian; 2015 (adapted)

Extract 5: Rise in food prices pushes China's consumer inflation up 1.6% in December 2015

China's consumer inflation edged up by 1.6% in December 2015 year-on-year as food prices rose, official data showed. The inflation rate reported by the National Bureau of Statistics was up from November 2015's year-on-year rate of 1.5% and was driven by a 1.5% increase in food prices in December 2015.

Consumer inflation had been drifting down after hitting a year-on-year rate of 2% in August 2015. Relatively low inflation has given Chinese leaders room to cut interest rates six times since November 2014 to stimulate the slowing economy.

The latest data showed that consumer prices increased by 1.40% in 2015 compared with the previous year, also pushed up by higher food prices. Pork prices increased year-on-year by 9.5% and fresh vegetables went up 7.4%. The price rise in 2015 was well below the official target of 3%, and lower than the 2.06% inflation in 2014.

Producer prices, measured as prices of goods that leave the factory, declined by 5.9% in December 2015 from a year earlier, extending a long period of decline as a result of excess production capacity in many industries. Producer prices dropped 5.2% in 2015 from the previous year.

Source: *Associated Press*, 8 January 2016

Table 4: Annual average inflation rate in China as measured by the Consumer Price Index (CPI) (%)

Average Inflation by Year (CPI) (%)	
2011	5.53
2012	2.62
2013	2.57
2014	2.06
2015	1.40

Source: *National Bureau of Statistics of China*

be removed almost immediately once the deal is signed. On trade in services, it has been agreed that free trade would be quite a good thing, and in some areas, trade will be liberalised.

The 12 countries have a collective population of about 800 million – almost double that of the EU's single market. The 12-nation bloc is already responsible for 40% of world trade. The deal is a remarkable achievement given the very different approaches and standards within the member countries, including on environmental protection, workers' rights and regulation – not to mention the special protection that some countries have for certain industries.

The TPP provisions will promote US economic interests in a region of the world that accounts for nearly 40% of global GDP. The agreement will also help the US to respond to the bilateral trade agreements that already exist or are being negotiated by competitor countries. The agreement opens markets and will support the expansion of US agricultural exports, increase farm incomes and promote employment in agriculture. Global demand for US agricultural products is growing, but so is the competition. The TPP is vital for US agriculture to remain competitive. Currently, high tariffs in some potential TPP partners in effect discriminate against US farm products.

Opponents to the TPP claim that it will intensify competition between member countries' labour forces, especially in the manufacturing sector.

Source: *BBC News*, February 2016

Questions

(a) With reference to Extract 1, identify and explain **one** negative externality arising from the 'diet Westernisation' in Japan. [2]

(b) With reference to Table 1, explain which meat product is considered more of a necessity by consumers in Japan. [2]

(c) Suppose the price of imported chilled beef rises. Explain what would happen to total spending by Japanese consumers on imported chilled beef from **(i)** Australia and **(ii)** the Rest of the World. [4]

(d) Using the information in Extract 2, calculate and interpret the cross elasticity of demand in Japan between Australian chilled beef and **(i)** US chilled beef and **(ii)** chilled beef from the rest of the world. [4]

(e) Discuss the ways in which Japan might raise its self-sufficiency in food and consider whether this aim is achievable for Japan. [8]

(f) In the light of the opposition to the TPP in the United States, assess whether the gains from free trade agreements outweigh the losses. [10]

[Total: 30]

Answer **all** questions.

Question 1: Prospects For Beef Exports to Japan

Extract 1: Changes in The Japanese Diet

In the last 60 years almost every corner of the globe has seen major demographic changes, like population increase and urbanisation, along with rapid economic development. These processes have played a major role in changing traditional lifestyles with one example being the significant shift towards diets containing more meat and animal products. This has been branded as 'diet Westernisation' and is occurring throughout the world. Such a change in food habits has resulted not just in massive increases in livestock production globally, but has also contributed to an 'obesity epidemic'. Obesity has costs in terms of the treatment of a range of health problems that it causes, such as heart disease and diabetes. There are also costs such as lower productivity of the labour force.

Since 1961, the production and consumption of many types of meat have increased significantly. In particular, the production of beef, sheep and goat meat has more than doubled, while the production of pork and poultry increased by 200% and 800% respectively. Japan is the nation that has experienced the most dramatic shift in the diets of its citizens during the past decades with a relative decline in the consumption of fish compared to meat. This is due to a number of factors, with urbanisation, rising incomes, changes in food supply chains (e.g., increases in the number of supermarkets and convenience stores) and trade liberalisation all contributing to the Westernisation of Japanese diets. Japan now imports the majority of beef consumed, while it also imports the bulk of the cattle feed used for its domestic beef production. Low self-sufficiency (a self-sufficient country is able to produce everything it needs by itself) in these increasingly popular components of the Japanese diet has been a major concern for the Japanese government. In fact, food self-sufficiency is featured as a top policy objective and the Japanese government is attempting to implement policies that aim to increase food self-sufficiency above the relatively low current rate of 40% (compared to other developed countries).

Therefore, Japan's changing diets and the associated food self-sufficiency challenge are not only critical for Japan but also for countries like Australia, Brazil and the United States (US). These countries are shouldering the environmental burden of supplying directly and indirectly to meet Japan's growing appetite for meat.

Source: *Our World United Nations University*

Extract 2: The Market for Beef Imports into Japan

With its large population and limited agricultural land, Japan has consistently been one of the world's largest importers of food products, including beef. In 2014, Japan imported nearly US$3.5 billion of beef products, making it the third-largest beef importer in the world.

The primary sources for these imports are the US and Australia, which together represented approximately 90% of Japan's 2014 beef imports in terms of value. Australia has the larger share, with 47% of the total value while the US share is 44%. Japan regained its position as the largest foreign market for US beef in 2014, representing over 20% of all US beef exports. This is in spite of Japan's high trade barriers on US beef and beef products.

Japan's beef consumption has exceeded 1 million tonnes every year since 1989. However, declining population and weak economic growth are expected to constrain Japan's demand for beef in the future. Japan's population growth has been negative every year since 2009. The estimated population in 2014 is 127.1 million. This is less than it was in 2001. Decreased population will hamper the demand for beef because it means fewer buyers in total. However, this may be offset by the fact that Japan's population is ageing and typically meat consumption increases as its population ages. In 2013, more than 25% of Japan's population was over 65 years old. In comparison, just under 14% of the US population